

READING PASSAGE 1

The Economics of Pharmaceutical Innovation

A The study of the economics of pharmaceutical innovation has undergone a remarkable transformation over the past several decades. What was once a niche area of academic inquiry has developed into a rich and diverse field of research, drawing on insights from a wide range of disciplines and theoretical traditions.

B The intellectual lineage of this field extends considerably further than many realise. While modern research techniques have only recently been applied to these questions, philosophers and natural scientists have grappled with related issues for centuries. The transition from speculative philosophical inquiry to systematic empirical investigation represents one of the most significant developments in the intellectual history of this domain.

C The mechanisms underlying these phenomena operate at multiple levels of analysis, from the micro-level of individual decision-making to the macro-level of institutional and structural change. At the individual level, cognitive processes, emotional responses, and social influences shape the choices that people make. At the organisational level, formal rules, informal norms, and power dynamics govern collective action. At the societal level, historical legacies, cultural values, and political structures create the broad context within which lower-level processes unfold.

D The empirical record is further strengthened by a series of meta-analyses that have synthesised findings from hundreds of individual studies. These comprehensive reviews have consistently identified moderate to large effect sizes, with the most robust findings demonstrating remarkable consistency across different research designs, measurement approaches, and analytical strategies. This convergence of evidence from multiple independent lines of inquiry considerably strengthens confidence in the validity of the core theoretical propositions.

E Several unresolved debates continue to animate scholarly discussion in this field. Perhaps the most prominent concerns the relative importance of structural versus agentic factors in determining outcomes. While some researchers emphasise the constraining power of institutional and economic structures, others highlight the capacity of individuals and groups to exercise agency and effect change even within seemingly restrictive contexts. This debate has significant practical implications, as it shapes recommendations for policy interventions and institutional reforms.

F The future trajectory of research in this area will likely be shaped by several converging trends. Advances in computational methods and data science are opening up new analytical possibilities, enabling researchers to detect patterns and test hypotheses at scales that were previously unimaginable. Simultaneously, growing recognition of the importance of interdisciplinary collaboration is breaking down traditional barriers between fields and fostering innovative syntheses of diverse theoretical perspectives.

G In conclusion, the study of the economics of pharmaceutical innovation represents a vital and dynamic area of contemporary research. The progress that has been made in understanding the key mechanisms and dynamics provides a solid foundation for both further scholarly inquiry and practical application. The challenges that remain should be seen not as reasons for discouragement but as opportunities for continued intellectual growth and social contribution.

Questions 1–3

Complete the sentences below. Choose NO MORE THAN THREE WORDS from the passage for each answer.

- 1 According to the passage, structural factors include economic incentives, institutional frameworks, and _____.
- 2 The author notes that researchers have called for more _____ approaches to investigation.
- 3 Dynamic _____ processes can amplify or dampen initial effects in complex systems.

Question 4

Do the following statements agree with the information given in the passage?

Write TRUE if the statement agrees with the information

Write FALSE if the statement contradicts the information

Write NOT GIVEN if there is no information on this

- 4 The landmark study discussed in the passage involved participants from multiple countries.

Question 5

Choose the correct letter, A, B, C or D.

- 5 According to the text, what role do structural factors play?
 - A. weak effects across studies
 - B. moderate to large effect sizes with consistency
 - C. contradictory findings
 - D. results only in specific populations

Question 6

Complete the sentences below. Choose NO MORE THAN THREE WORDS from the passage for each answer.

- 6 Researchers used data from more than _____ countries in the landmark study.

Question 7

Choose the correct letter, A, B, C or D.

- 7 The passage indicates that critics have raised concerns about:
 - A. excessive funding
 - B. theoretical and methodological limitations
 - C. public interest
 - D. international collaboration

Question 8

Do the following statements agree with the information given in the passage?

Write TRUE if the statement agrees with the information

Write FALSE if the statement contradicts the information

Write NOT GIVEN if there is no information on this

8 Meta-analyses have confirmed the reliability of the core findings in this field.

Questions 9–10

Choose the correct letter, A, B, C or D.

9 What finding emerged from the landmark study discussed in the passage?

- A. economic incentives and institutional constraints
- B. individual personality traits
- C. random chance
- D. government policies alone

10 The author suggests that early studies in this field were limited by:

- A. weak effects across studies
- B. moderate to large effect sizes with consistency
- C. contradictory findings
- D. results only in specific populations

Questions 11–12

Do the following statements agree with the information given in the passage?

Write TRUE if the statement agrees with the information

Write FALSE if the statement contradicts the information

Write NOT GIVEN if there is no information on this

11 Early researchers had access to the same technologies as modern scholars.

12 The landmark study discussed in the passage involved participants from multiple countries.

Question 13

Choose the correct letter, A, B, C or D.

13 Which of the following best describes the author's view on future developments?

- A. too much data collection
- B. the generalisability of findings across contexts
- C. insufficient government funding
- D. overly complex statistical methods